



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
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March 2, 2026

VIA ELECTRONIC MAIL

Jessica Castillo
Health Net of California, Inc.
21281 Burbank Blvd.
Woodland Hills, CA 91367

Re: Proposed Contract Termination with Adventist Health St. Helena
Block Transfer Filing No. 2026-HOSP-252
Filed on February 26, 2026

Dear Ms. Castillo:

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **Health Net of California, Inc.** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **Adventist Health St. Helena** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **April 15, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. Please confirm the Plan will utilize the most recently approved eFiling Enrollee Transfer Notice Templates for this Block Transfer Filing.

Plan Response: The Plan confirms that it will utilize the most recently approved eFiling Enrollee Transfer Notice templates for this Block Transfer Filing.

2. Please confirm that the Plan is aware that it cannot transition its enrollees or send Enrollee Transfer Notices without the Department's approval.

Plan Response: The Plan confirms that it will not transition enrollees or issue Enrollee Transfer Notices without prior approval from the Department.

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3. The Plan indicated on the Block Transfer Filing Form that the hospital termination is part of the Adventist Health termination. Please confirm if the contract is a stand-alone contract.

Plan Response: The Plan confirms that the contract is not a stand-alone contract.

4. The Plan indicates that MRI, Cardiac Cath, Hyperbaric Therapy, ICU, Medical oncology, Chemotherapy, Immunotherapy, Radiation oncology, Surgical oncology, Advanced Imaging (PET & MRI), Affiliated clinical trials are available at the Terminating Hospital. Please confirm which Alternate Hospital(s) provides each service(s):

Plan Response: See below.

	MRI	Cardiac Cath	Hyperbaric Therapy*	ICU	Medical oncology	Chemotherapy	Immunotherapy	Radiation Oncology	Surgical Oncology	Advanced imaging (PET MRI)	Affiliated clinical trials
PROVIDENCE QUEEN OF THE VALLEY MEDICAL CENTER	Y	Y		Y	Y	Y	Y	Y	Y	Y	Y
SONOMA VALLEY HOSPITAL				Y						PET only	
SUTTER SANTA ROSA REGIONAL HOSPITAL	Y	Y		Y	Y	Y	Y	Y	Y	Y	

*Terminating hospital does not provide this service.

5. The Plan's PPO line of business is licensed by the Department. Please confirm the following:
 - a. The Plan will send an Enrollee Transfer Notice approved by the Department to all PPO enrollees with a 15-mile radius of the Terminating Hospital.

Plan Response: The Plan confirms that it will send a Department-approved Enrollee Transfer Notice to all PPO enrollees residing within a 15-mile radius of the Terminating Hospital, as applicable.

6. The Department notes that the Plan has chosen Directly Contracted Network (DCN) as a group that admits to the Terminating Hospital, for the Enrollee Access section of the Block Transfer Filing Form. The Department also notes that the Plan has stated there are no impacted medical groups. Please state whether DCN is impacted by the pending termination or if DCN was selected because a provider group must be chosen for Enrollee Access section of the Block Transfer Filing Form.

Plan Response: The Plan confirms that Directly Contracted Network (DCN) is not impacted by the pending hospital termination and was selected solely because a provider group must be identified in the Enrollee Access section of the Block Transfer Filing Form in order for the filing to be submitted.

7. In addition to the in-patient services comparison on the Block Transfer portal, please indicate any of the following services that are available at the Terminating Hospital, but not available at the Alternate Hospitals:
 - a. Any out-patient or in-patient services,
 - b. Any tertiary care, quaternary care, cancer, burn or other high-level specialty services,

If any services are not available at the Alternate Hospitals, please explain where affected enrollees will receive these services following contract termination.

Plan Response: The Plan confirms that there are no outpatient, inpatient, tertiary, quaternary, cancer, burn, or other high-level specialty services available at the Terminating Hospital that are not available at an Alternate Hospital.

8. The Plan proposes Sonoma Valley Hospital and Sutter Santa Rosa Regional Hospital as an Alternate Hospital. Please explain how the driving time/distance to this hospital fits the normal pattern of practice for travel in the area, or alternatively, identify any waivers or alternate access standards approved by the Department for this area (including the filing number and approval date).

Plan Response: Hospital services in Napa and Sonoma Counties routinely require travel between communities such as St. Helena, Napa, Sonoma, and Santa Rosa. Patients commonly travel 30–60 minutes for inpatient and specialty hospital care due to the distribution of hospitals along Highway 29, CA-128, and US-101 corridors. The travel times and distances to these facilities are consistent with the normal pattern of practice for hospital care in Napa and Sonoma

Counties, which are characterized by rural and semi-rural geography and limited north-south transportation corridors.

9. Please identify the number of enrollees who have a procedure scheduled and authorized by the Plan at the Terminating Hospital post-termination.

Plan Response: The Plan confirms that there are zero (0) enrollees with procedures scheduled and authorized by the Plan at the Terminating Hospital following contract termination.

10. Please confirm whether the provider group(s) in this Block Transfer Filing are facing potential contract termination(s) within six months. In addition, if the Plan is required to file a Block Transfer Filing for any of the provider group(s), please provide the name of the provider group and the filing number of each Block Transfer Filing.

Plan Response: The Plan confirms that there are no directly impacted provider groups documented in this Block Transfer Filing. Accordingly, no provider groups are facing potential contract termination within the next six months, and no additional Block Transfer Filings are required.

Please submit the Plan's response by **March 9, 2026**, via the Block Transfer portal as a "Response to Comment Letter."

Please contact me if there are any questions regarding the above.

Sincerely,



Stacie Litovchenko
Analyst II
Office of Plan Monitorin